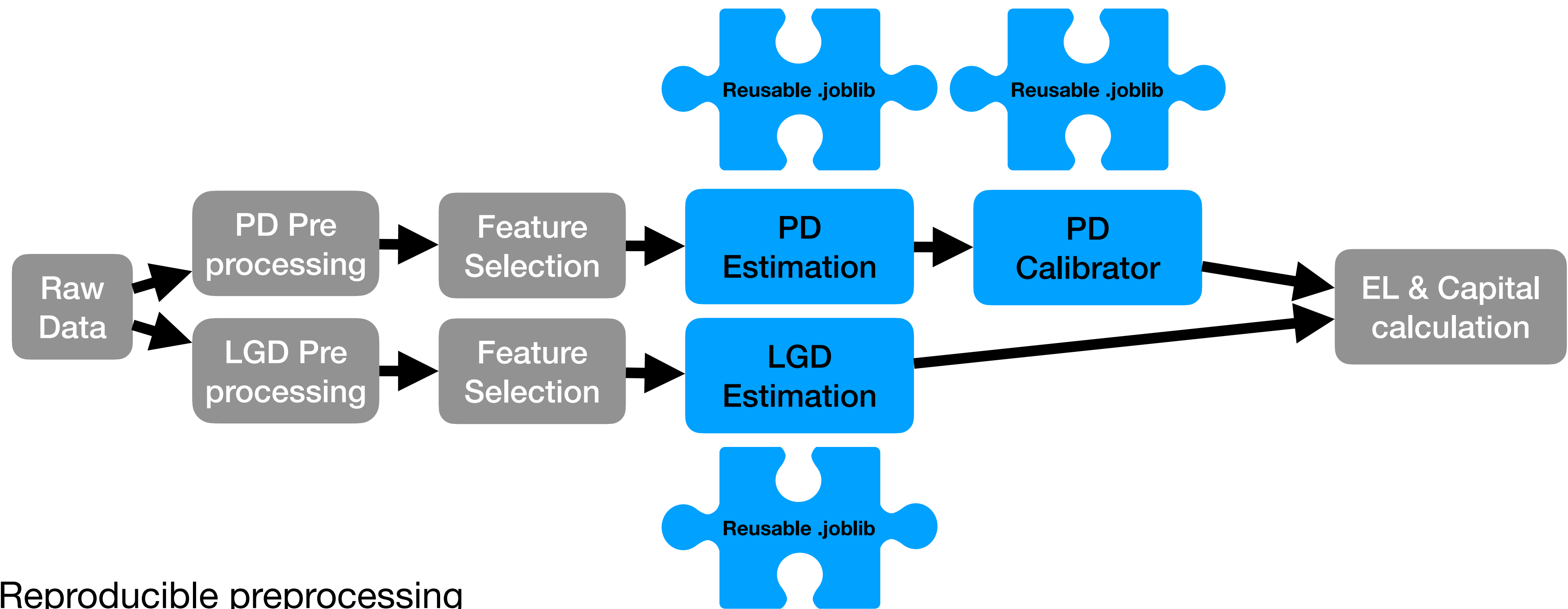


Building the Capital Layer

Scoring workflow for portfolio-level capital analysis



Reproducible preprocessing

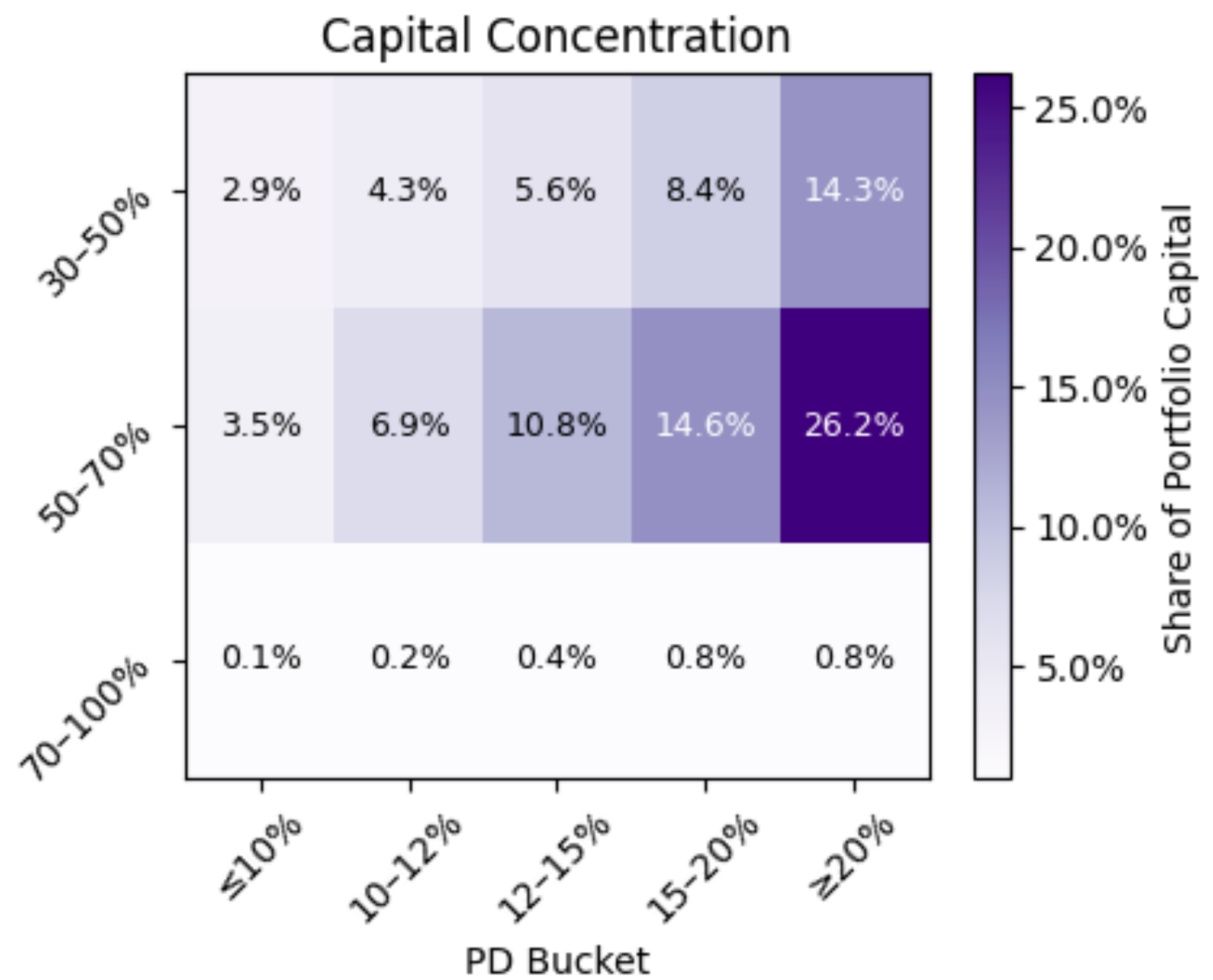
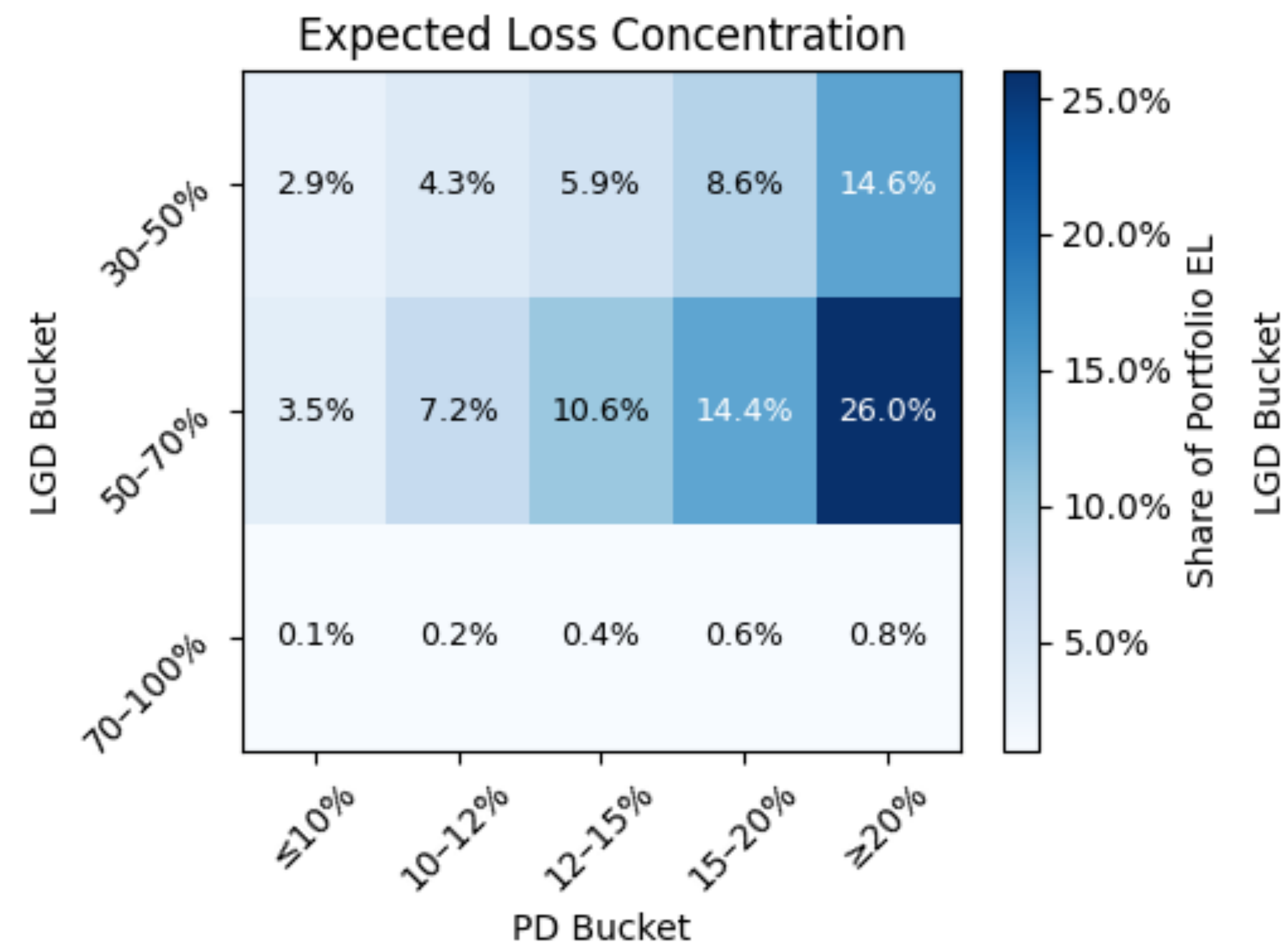
Modular reusable components

Flexible PD & LGD estimation

Portfolio capital calculation

Expected Loss ≠ Capital

Comparison of portfolio share across PD and LGD



What changes when simulating Portfolio Losses

Capital allocation using Monte-Carlo vs Proxy

How much Capital can we remove by tightening Approval?

Expected Loss and Economic Capital response to a decreasing PD acceptance threshold

PD Threshold	Approval Rate	Portfolio EAD	Expected Loss	Expected Loss (MC)	Economic Capital
1.00	100.0%	116.4 M€	3.01 M€	3.01 M€	244 k€
0.30	96.4%	109.5 M€	2.67 M€	2.67 M€	233 k€
0.20	81.3%	85.7 M€	1.83 M€	1.83 M€	176 k€
0.15	58.0%	56.3 M€	1.00 M€	1.00 M€	137 k€
0.10	23.1%	19.7 M€	0.25 M€	0.25 M€	67 k€
0.07	6.8%	5.4 M€	0.05 M€	0.05 M€	29 k€
0.05	1.5%	1.1 M€	0.01 M€	0.01 M€	12 k€

Reverse Stress-testing Capital

Scoring workflow for portfolio-level capital analysis